

## Shenzhen Honor Electronic 300870.SZ 300870 CH

Global Markets Research  
10 September 2026

EQUITY: Electrical Equipment

### 1H26 missed; high-power products drive recovery

Downgrade to Neutral; cut TP to CNY232.10, implying 10.5% upside

#### 1H26 results below our expectations

According to the company's 1H26 results, revenue rose 18.3% y-y to CNY2,510mn, while net profit fell 94.0% y-y to CNY8mn. Data-center power supply revenue grew 18.1% y-y to CNY1,136mn, of which high-power AI server power supply revenue rose 41.4% y-y to CNY940mn as shipments continued to ramp up. The traditional power adapter business remained stable, providing a solid base for overall revenue. 1H26 results were below our estimates, which we attribute mainly to higher raw material costs, industry competition and FX volatility. Gross margin/net margin fell 2.4pp/6.0pp y-y to 17.9%/0.3%, resulting in a sharp decline in net profit despite revenue growth. We expect raw material cost pressure, intensified competition and FX volatility to continue weighing on earnings through 2026.

#### High-power product mix continues to rise; overseas projects progressing

According to the company's interim report, high-power server power supplies accounted for 82.4% of data center power supply revenue in 1H26, up from 68.8% in 1H25, with higher-margin, higher-barrier high-power server power supplies becoming the key growth driver. On the customer side, according to the IR activity record dated 26 Aug, the company has achieved volume shipments to mainstream server manufacturers and leading cloud customers in China. Overseas, it announced cooperation with Google (GOOGL US, Not rated) on a GPU power supply project and is also expanding cooperation with overseas system integrators and cloud service providers (CSPs). Its Vietnam facility has completed construction and commissioning of production lines for general-purpose and high-power server power supplies, with small-batch production expected by end-2026 and mass production in 2027. We believe a further increase in the high-power product mix and gradual conversion of overseas orders should continue to improve the company's earnings mix.

#### Downgrade to Neutral; cut TP to CNY232.10, implying 10.5% upside

Given a slower-than-expected earnings ramp-up in the data-center power supply business and continued uncertainty over the timing of overseas CSP project deliveries, we cut 2026/27/28F revenue by 2.6%/6.8%/8.4% to CNY5,608mn/CNY7,086mn/CNY8,971mn. We also cut our gross margin forecasts by 3.2pp/2.4pp/1.6pp to 19.9%/22.6%/23.9%, reflecting pressure from higher raw-material prices and intensified industry competition. Accordingly, we cut 2026/27/28F net profit by 45.9%/21.2%/17.7% to CNY284mn/CNY644mn/CNY913mn. For valuation, given near-term earnings pressure and uncertainty over the ramp-up of overseas CSP projects, we lower our target P/E from 65x to 55x. The target multiple remains at a premium to the peer average 2027E P/E, reflecting the company's ability to deliver high-power products at scale and its progress in expanding relationships with leading overseas customers. Based on 2027F EPS of CNY4.22 (CNY5.36 previously), we cut our TP to CNY232.10 from CNY348.40, implying 10.5% upside, and downgrade the stock to Neutral. The current share price implies 49.8x 2027F P/E. **Key upside/downside risks:** stronger/weaker AIDC demand; raw material price decline/hike risk; easing/intensifying industry competition; and faster/slower progress in overseas customer projects.

| Year-end 31 Dec            | FY25     | FY26F    |          | FY27F    |          | FY28F    |          |
|----------------------------|----------|----------|----------|----------|----------|----------|----------|
| Currency (CNY)             | Actual   | Old      | New      | Old      | New      | Old      | New      |
| Revenue (mn)               | 4,462    | 5,759    | 5,608    | 7,600    | 7,086    | 9,791    | 8,971    |
| Reported net profit (mn)   | 244      | 524      | 284      | 818      | 644      | 1,108    | 913      |
| Normalised net profit (mn) | 225      | 508      | 268      | 800      | 627      | 1,092    | 896      |
| FD normalised EPS          | 1.47     | 3.33     | 1.76     | 5.24     | 4.11     | 7.15     | 5.87     |
| FD norm. EPS growth (%)    | -12.3    | 126.3    | 19.3     | 57.4     | 133.8    | 36.5     | 43.0     |
| FD normalised P/E (x)      | 142.7    | -        | 119.6    | -        | 51.1     | -        | 35.8     |
| EV/EBITDA (x)              | 47.4     | -        | 61.0     | -        | 33.6     | -        | 24.5     |
| Price/book (x)             | 9.2      | -        | 11.4     | -        | 9.9      | -        | 8.3      |
| Dividend yield (%)         | 0.4      | -        | 0.3      | -        | 0.7      | -        | 0.9      |
| ROE (%)                    | 9.2      | 17.6     | 10.1     | 23.2     | 19.9     | 26.0     | 23.8     |
| Net debt/equity (%)        | net cash | net cash | net cash | net cash | net cash | net cash | net cash |

Source: Wind, company data, Nomura estimates

Rating  
Down from Buy **Neutral**

Target price  
Reduced from CNY348.40 **CNY 232.10**

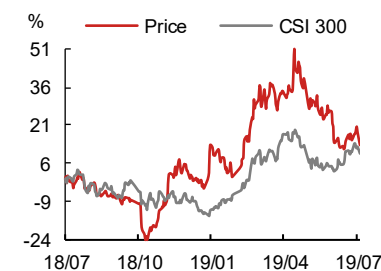
Closing price  
09 Sep 2026 **CNY 210.01**

Implied upside **+10.5%**

Market Cap (USD mn) 4,730.3

ADT (USD mn) 243.2

#### Relative performance chart



Source: Gildata

#### Research Analysts

China Electrical Equipment and  
Renewables

Peiyu Li - NOI

noiresearch@nomura.com

SAC Registration No.: S1720525040001

Xiaoming Ma - NOI

noiresearch@nomura.com

SAC Registration No.: S1720522060001

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

# Key data on Shenzhen Honor Electronic

## Performance

| (%)            | 1M   | 3M    | 12M |                   |         |
|----------------|------|-------|-----|-------------------|---------|
| Absolute (CNY) | -1.3 | -28.8 | 3.2 | M cap (USDmn)     | 4,730.3 |
| Absolute (USD) | -1.1 | -28.4 | 8.1 | Free float (%)    | 46.0    |
| Rel to CSI 300 | 1.3  | -24.1 | 0.1 | 3-mth ADT (USDmn) | 243.2   |

Source: Gildata

## Income statement (CNYmn)

| Year-end 31 Dec        | FY24   | FY25   | FY26F  | FY27F  | FY28F  |
|------------------------|--------|--------|--------|--------|--------|
| Revenue                | 3,798  | 4,462  | 5,608  | 7,086  | 8,971  |
| Cost of goods sold     | -2,986 | -3,577 | -4,493 | -5,485 | -6,824 |
| Gross profit           | 811    | 885    | 1,115  | 1,600  | 2,147  |
| SG&A                   | -477   | -581   | -754   | -933   | -1,187 |
| Employee share expense |        |        |        |        |        |
| Operating profit       | 302    | 275    | 317    | 724    | 1,026  |
| EBITDA                 | 460    | 502    | 519    | 934    | 1,266  |
| Depreciation           | -149   | -187   | -183   | -220   | -256   |
| Amortisation           |        |        |        |        |        |
| EBIT                   | 310    | 314    | 336    | 714    | 1,010  |
| Net interest expense   | 14     | -19    | -18    | 11     | 17     |
| Associates & JCEs      | 0      | 0      | 0      | 0      | 0      |
| Other income           | -48    | -7     | -25    | 46     | 51     |
| Earnings before tax    | 300    | 277    | 318    | 725    | 1,027  |
| Income tax             | -32    | -32    | -34    | -79    | -112   |
| Net profit after tax   | 268    | 245    | 284    | 646    | 915    |
| Minority interests     | 0      | -1     | 0      | -2     | -2     |
| Other items            | 0      | 0      | 0      | 0      | 0      |
| Preferred dividends    |        |        |        |        |        |
| Normalised NPAT        | 256    | 225    | 268    | 627    | 896    |
| Extraordinary items    | 12     | 19     | 16     | 17     | 16     |
| Reported NPAT          | 268    | 244    | 284    | 644    | 913    |
| Dividends              | -93    | -81    | -94    | -213   | -302   |
| Transfer to reserves   | 175    | 163    | 190    | 431    | 611    |

## Valuations and ratios

|                        |       |       |       |      |      |
|------------------------|-------|-------|-------|------|------|
| Reported P/E (x)       | 40.3  | 99.5  | 113.0 | 49.8 | 35.1 |
| Normalised P/E (x)     | 42.2  | 108.1 | 119.6 | 51.1 | 35.8 |
| FD normalised P/E (x)  | 125.1 | 142.7 | 119.6 | 51.1 | 35.8 |
| Dividend yield (%)     | 0.4   | 0.4   | 0.3   | 0.7  | 0.9  |
| Price/cashflow (x)     | 80.7  | 74.7  | 75.7  | 41.6 | 30.2 |
| Price/book (x)         | 5.0   | 9.2   | 11.4  | 9.9  | 8.3  |
| EV/EBITDA (x)          | 23.8  | 47.4  | 61.0  | 33.6 | 24.5 |
| EV/EBIT (x)            | 103.7 | 100.4 | 94.2  | 43.9 | 30.7 |
| Gross margin (%)       | 21.4  | 19.8  | 19.9  | 22.6 | 23.9 |
| EBITDA margin (%)      | 12.1  | 11.2  | 9.3   | 13.2 | 14.1 |
| EBIT margin (%)        | 8.2   | 7.0   | 6.0   | 10.1 | 11.3 |
| Net margin (%)         | 7.1   | 5.5   | 5.1   | 9.1  | 10.2 |
| Effective tax rate (%) | 10.5  | 11.6  | 10.6  | 10.9 | 10.9 |
| Dividend payout (%)    | 34.6  | 33.1  | 33.1  | 33.1 | 33.1 |
| ROE (%)                | 12.3  | 9.2   | 10.1  | 19.9 | 23.8 |
| ROA (pretax %)         | 6.8   | 5.9   | 5.8   | 10.7 | 12.8 |

## Growth (%)

|                  |       |       |       |       |      |
|------------------|-------|-------|-------|-------|------|
| Revenue          | 32.3  | 17.5  | 25.7  | 26.4  | 26.6 |
| EBITDA           | 113.3 | 9.2   | 3.4   | 80.0  | 35.6 |
| Normalised EPS   | 273.0 | -19.2 | -14.1 | 133.8 | 43.0 |
| Normalised FDEPS | 273.0 | -12.3 | 19.3  | 133.8 | 43.0 |

Source: Wind, company data, Nomura estimates

## Cashflow statement (CNYmn)

| Year-end 31 Dec             | FY24 | FY25 | FY26F | FY27F | FY28F  |
|-----------------------------|------|------|-------|-------|--------|
| EBITDA                      | 460  | 502  | 519   | 934   | 1,266  |
| Change in working capital   | -94  | -59  | -111  | -104  | -122   |
| Other operating cashflow    | 31   | -13  | 16    | -60   | -80    |
| Cashflow from operations    | 397  | 429  | 423   | 770   | 1,063  |
| Capital expenditure         | -292 | -314 | -334  | -333  | -403   |
| Free cashflow               | 105  | 116  | 90    | 437   | 660    |
| Reduction in investments    | 44   | 0    | 19    | 20    | 10     |
| Net acquisitions            | 0    | 0    | 0     | 0     | 0      |
| Dec in other LT assets      | 0    | 0    | 0     | 0     | 0      |
| Inc in other LT liabilities | 0    | 0    | 0     | 0     | 0      |
| Adjustments                 | -379 | 115  | -8    | 28    | 27     |
| CF after investing acts     | -230 | 231  | 101   | 485   | 697    |
| Cash dividends              | -93  | -81  | -94   | -213  | -302   |
| Equity issue                | 0    | 7    | -1    | 0     | 0      |
| Debt issue                  | -70  | -102 | -1    | 0     | 0      |
| Convertible debt issue      |      |      |       |       |        |
| Others                      | 721  | -27  | -30   | -13   | -13    |
| CF from financial acts      | 558  | -203 | -126  | -225  | -314   |
| Net cashflow                | 347  | 22   | -46   | 260   | 383    |
| Beginning cash              | 528  | 875  | 897   | 850   | 1,110  |
| Ending cash                 | 875  | 897  | 850   | 1,110 | 1,493  |
| Ending net debt             | -422 | -647 | -601  | -860  | -1,243 |

## Balance sheet (CNYmn)

| As at 31 Dec               | FY24  | FY25  | FY26F | FY27F | FY28F |
|----------------------------|-------|-------|-------|-------|-------|
| Cash & equivalents         | 875   | 897   | 850   | 1,110 | 1,493 |
| Marketable securities      | 502   | 483   | 483   | 483   | 483   |
| Accounts receivable        | 1,541 | 1,449 | 1,992 | 2,488 | 3,108 |
| Inventories                | 465   | 529   | 656   | 790   | 971   |
| Other current assets       | 128   | 160   | 168   | 201   | 254   |
| Total current assets       | 3,510 | 3,516 | 4,149 | 5,071 | 6,308 |
| LT investments             | 77    | 56    | 37    | 17    | 7     |
| Fixed assets               | 1,111 | 1,172 | 1,316 | 1,445 | 1,606 |
| Goodwill                   | 0     | 0     | 0     | 0     | 0     |
| Other intangible assets    | 69    | 68    | 67    | 66    | 65    |
| Other LT assets            | 556   | 602   | 605   | 593   | 584   |
| Total assets               | 5,322 | 5,414 | 6,174 | 7,192 | 8,569 |
| Short-term debt            | 237   | 76    | 76    | 76    | 76    |
| Accounts payable           | 1,723 | 1,835 | 2,409 | 2,936 | 3,629 |
| Other current liabilities  | 306   | 330   | 361   | 418   | 489   |
| Total current liabilities  | 2,266 | 2,241 | 2,846 | 3,431 | 4,195 |
| Long-term debt             | 216   | 173   | 173   | 173   | 173   |
| Convertible debt           |       |       |       |       |       |
| Other LT liabilities       | 669   | 352   | 354   | 354   | 354   |
| Total liabilities          | 3,152 | 2,767 | 3,373 | 3,958 | 4,722 |
| Minority interest          | 0     | 1     | 1     | 3     | 5     |
| Preferred stock            |       |       |       |       |       |
| Common stock               | 101   | 110   | 153   | 153   | 153   |
| Retained earnings          | 929   | 1,065 | 1,234 | 1,665 | 2,276 |
| Proposed dividends         |       |       |       |       |       |
| Other equity and reserves  | 1,141 | 1,472 | 1,414 | 1,414 | 1,414 |
| Total shareholders' equity | 2,170 | 2,647 | 2,801 | 3,234 | 3,847 |
| Total equity & liabilities | 5,322 | 5,414 | 6,174 | 7,192 | 8,569 |

## Liquidity (x)

|                |      |      |      |      |      |
|----------------|------|------|------|------|------|
| Current ratio  | 1.55 | 1.57 | 1.46 | 1.48 | 1.50 |
| Interest cover | -    | 16.3 | 18.8 | -    | -    |

## Leverage

|                     |          |          |          |          |          |
|---------------------|----------|----------|----------|----------|----------|
| Net debt/EBITDA (x) | net cash | net cash | net cash | net cash | net cash |
| Net debt/equity (%) | net cash | net cash | net cash | net cash | net cash |

## Per share

|                    |       |       |       |       |       |
|--------------------|-------|-------|-------|-------|-------|
| Reported EPS (CNY) | 2.69  | 2.32  | 1.86  | 4.22  | 5.98  |
| Norm EPS (CNY)     | 2.53  | 2.05  | 1.76  | 4.11  | 5.87  |
| FD norm EPS (CNY)  | 1.68  | 1.47  | 1.76  | 4.11  | 5.87  |
| BVPS (CNY)         | 21.45 | 24.09 | 18.34 | 21.17 | 25.17 |
| DPS (CNY)          | 0.90  | 0.74  | 0.61  | 1.39  | 1.98  |

## Activity (days)

|                 |       |       |       |       |       |
|-----------------|-------|-------|-------|-------|-------|
| Days receivable | 122.9 | 120.6 | 110.4 | 113.8 | 112.3 |
| Days inventory  | 48.3  | 50.0  | 47.5  | 47.5  | 46.5  |
| Days payable    | 176.6 | 179.1 | 170.0 | 175.4 | 173.2 |
| Cash cycle      | -5.3  | -8.5  | -12.1 | -14.1 | -14.4 |

Source: Wind, company data, Nomura estimates

## Company profile

Shenzhen Honor Electronic primarily develops and manufactures power adapters, data center power supplies and other power supplies, serving end-markets including network communications, smart homes and data centers. The company has established a strong brand and competitive position in these markets and is expanding its AI data center power offerings as a key growth driver.

## Valuation Methodology

We derive our target price of CNY232.10 by applying a 55x target P/E to 2027F EPS of CNY4.22. Our target multiple is at a premium to the peer average, reflecting the company's ability to deliver high-power products at scale and its progress in expanding relationships with leading overseas customers. The benchmark index for the stock is the CSI 300 Index.

## Risks that may impede the achievement of the target price

Key upside/downside risks include stronger-/weaker-than-expected AIDC demand; raw material price decline/hike risk; easing/intensifying industry competition; and faster-/slower-than-expected progress in overseas customer projects.

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## ESG

According to its 2025 Sustainability Report, Honor Electronic invested more than CNY13mn in environmental protection in 2025, and its major production sites are ISO 14001-certified. It recycled and processed approximately 950 tonnes of waste during the year. The company has established a structured environmental management system and continues to advance toward lower-carbon, more sustainable operations.

# Key charts and tables

**Fig. 1: Shenzhen Honor Electronic – Changes to earnings forecasts**

| CNYmn                      | 2025         | 2026F        |              |               | 2027F        |              |               | 2028F        |              |               |
|----------------------------|--------------|--------------|--------------|---------------|--------------|--------------|---------------|--------------|--------------|---------------|
|                            | Actual       | Old          | New          | Change        | Old          | New          | Change        | Old          | New          | Change        |
| <b>Revenue</b>             | <b>4,462</b> | <b>5,759</b> | <b>5,608</b> | <b>-2.6%</b>  | <b>7,600</b> | <b>7,086</b> | <b>-6.8%</b>  | <b>9,791</b> | <b>8,971</b> | <b>-8.4%</b>  |
| Data Center Power Supplies | 2,016        | 3,023        | 2,872        | -5.0%         | 4,535        | 4,021        | -11.3%        | 6,349        | 5,529        | -12.9%        |
| Power Adapters             | 1,780        | 1,958        | 1,958        | 0.0%          | 2,154        | 2,154        | 0.0%          | 2,369        | 2,369        | 0.0%          |
| Other Power Supplies       | 635          | 730          | 730          | 0.0%          | 840          | 840          | 0.0%          | 965          | 965          | 0.0%          |
| Other Businesses           | 32           | 48           | 48           | 0.0%          | 72           | 72           | 0.0%          | 108          | 108          | 0.0%          |
| <b>Gross profit</b>        | <b>885</b>   | <b>1,328</b> | <b>1,115</b> | <b>-16.1%</b> | <b>1,896</b> | <b>1,600</b> | <b>-15.6%</b> | <b>2,497</b> | <b>2,147</b> | <b>-14.0%</b> |
| Gross margin               | 19.8%        | 23.1%        | 19.9%        | -3.2ppt       | 24.9%        | 22.6%        | -2.4ppt       | 25.5%        | 23.9%        | -1.6ppt       |
| Taxes and surcharges       | 21           | 30           | 29           | -2.6%         | 39           | 36           | -6.8%         | 50           | 45           | -8.4%         |
| SG&A                       | 581          | 774          | 754          | -2.6%         | 1,000        | 933          | -6.8%         | 1,296        | 1,187        | -8.4%         |
| Financial Expenses         | 19           | 12           | 18           | 47.3%         | 13           | -11          | -188.6%       | 21           | -17          | -182.3%       |
| <b>Operating profit</b>    | <b>275</b>   | <b>586</b>   | <b>317</b>   | <b>-45.9%</b> | <b>919</b>   | <b>724</b>   | <b>-21.2%</b> | <b>1,247</b> | <b>1,026</b> | <b>-17.7%</b> |
| Operating margin           | 6.2%         | 10.2%        | 5.7%         | -4.5ppt       | 12.1%        | 10.2%        | -1.9ppt       | 12.7%        | 11.4%        | -1.3ppt       |
| Depreciation               | 187          | 183          | 183          | 0.0%          | 220          | 183          | -16.7%        | 256          | 183          | -28.4%        |
| Income tax                 | 32           | 62           | 34           | -45.9%        | 101          | 79           | -21.5%        | 137          | 112          | -18.0%        |
| <b>Net profit</b>          | <b>244</b>   | <b>524</b>   | <b>284</b>   | <b>-45.9%</b> | <b>818</b>   | <b>644</b>   | <b>-21.2%</b> | <b>1,108</b> | <b>913</b>   | <b>-17.7%</b> |
| Net margin                 | 5.5%         | 9.1%         | 5.1%         | -4.0ppt       | 10.8%        | 9.1%         | -1.7ppt       | 11.3%        | 10.2%        | -1.1ppt       |
| EPS (CNY)                  | 2.32         | 3.43         | 1.86         | -45.9%        | 5.36         | 4.22         | -21.2%        | 7.26         | 5.98         | -17.7%        |

Source: Wind, Shenzhen Honor Electronic 2025 annual report, Nomura estimates

**Fig. 2: Shenzhen Honor Electronic – Nomura estimates vs. Wind consensus**

| CNYmn      | Nomura estimates |       |       | Wind consensus |       |       | Diff. (%) |       |       |
|------------|------------------|-------|-------|----------------|-------|-------|-----------|-------|-------|
|            | 2026F            | 2027F | 2028F | 2026E          | 2027E | 2028E | 2026F     | 2027F | 2028F |
| Revenue    | 5,608            | 7,086 | 8,971 | 5,432          | 6,940 | 8,602 | 3.2%      | 2.1%  | 4.3%  |
| Net profit | 284              | 644   | 913   | 282            | 623   | 879   | 0.7%      | 3.3%  | 3.8%  |

Note: Wind consensus data as of 9 Sep 2026.

Source: Wind, Nomura estimates

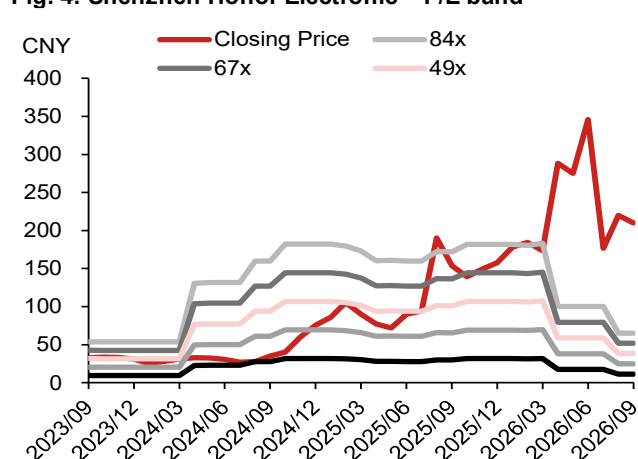
**Fig. 3: Shenzhen Honor Electronic – Valuation comparables**

| Ticker         | Company name              | Rating    | TP (LC) | CP (LC) | Mkt cap (USDmn) | PE (x)      |             |             | NP CAGR 2026-28F | ROE (%)    |             |             |
|----------------|---------------------------|-----------|---------|---------|-----------------|-------------|-------------|-------------|------------------|------------|-------------|-------------|
|                |                           |           |         |         |                 | 2026F       | 2027F       | 2028F       |                  | 2026F      | 2027F       | 2028F       |
| 300870 CH      | Shenzhen Honor Electronic | Buy       | 232.10  | 210.01  | 4,730           | 113.0       | 49.8        | 35.1        | 37%              | 10.1       | 19.9        | 23.8        |
| 002335 CH      | Kehua Data                | Not Rated | -       | 30.06   | 3,346           | 34.8        | 29.5        | 18.3        | 26%              | 9.4        | 12.4        | 15.1        |
| 002364 CH      | Zhonhen Electric          | Not Rated | -       | 36.70   | 3,052           | 83.9        | 77.9        | 39.8        | 61%              | 9.2        | 12.9        | 16.3        |
| 002993 CH      | Aohai Technology          | Not Rated | -       | 37.18   | 1,514           | 18.1        | 15.5        | 11.0        | 30%              | 10.9       | 13.4        | 15.3        |
| <b>Average</b> |                           |           |         |         |                 | <b>45.6</b> | <b>41.0</b> | <b>23.0</b> | <b>39%</b>       | <b>9.8</b> | <b>12.9</b> | <b>15.6</b> |

Note: Priced at close of 9 Sep 2026; Nomura estimates for rated stocks and Wind consensus estimates for not rated stocks; averages exclude Shenzhen Honor Electronic.

Source: Wind, Nomura estimates

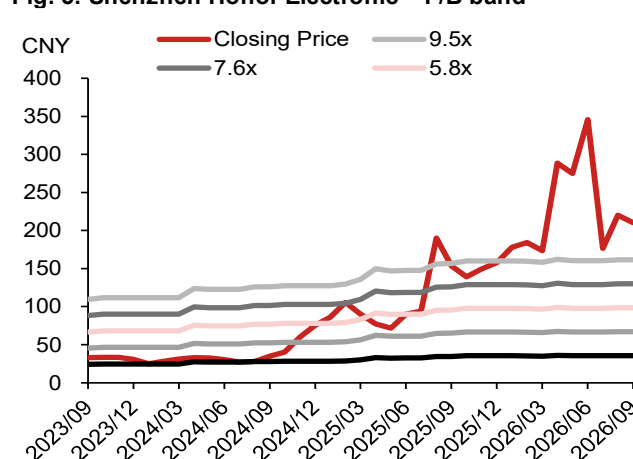
**Fig. 4: Shenzhen Honor Electronic – P/E band**



Note: Priced as of 9 Sep 2026.

Source: Wind, Nomura

**Fig. 5: Shenzhen Honor Electronic – P/B band**



Note: Priced as of 9 Sep 2026.

Source: Wind, Nomura

# Appendix A-1

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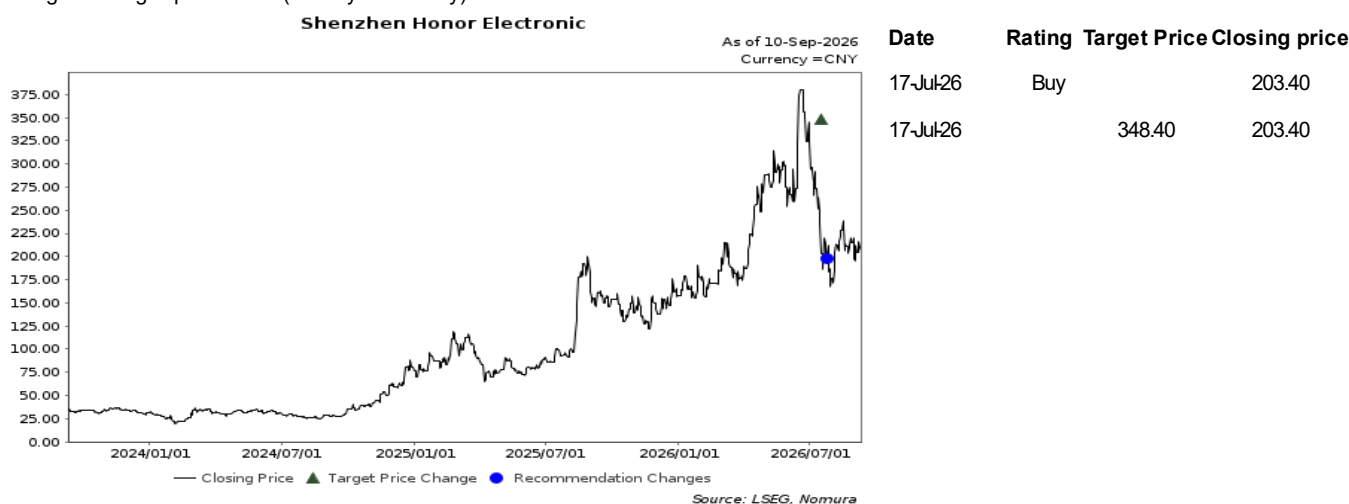
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| Issuer                    | Ticker    | Price      | Price date  | Stock rating | Sector rating | Disclosures |
|---------------------------|-----------|------------|-------------|--------------|---------------|-------------|
| Shenzhen Honor Electronic | 300870 CH | CNY 206.14 | 10-Sep-2026 | Neutral      | N/A           |             |

### Shenzhen Honor Electronic (300870 CH)

CNY 206.14 (10-Sep-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

**Valuation Methodology** We derive our target price of CNY232.10 by applying a 55x target P/E to 2027F EPS of CNY4.22. Our target multiple is at a premium to the peer average, reflecting the company's ability to deliver high-power products at scale and its progress in expanding relationships with leading overseas customers. The benchmark index for the stock is the CSI 300 Index.

**Risks that may impede the achievement of the target price** Key upside/downside risks include stronger-/weaker-than-expected AIDC demand; raw material price decline/hike risk; easing/intensifying industry competition; and faster-/slower-than-expected progress in overseas customer projects.

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